

Conglomerate mergers: Effects on growth and competition

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Motivation



- A conglomerate is a combination of business units operating in entirely different industries
- Usually they span multiple countries (multinational)
- There are more than 1000 conglomerates world wide
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Model and setup

Input: $N, M, C, \Delta, T, p, \alpha, \lambda$

for t **in** T **do**

foreach $m_j \in N \times M$ **do**

 Merge with m_j if $m_j \notin n_i$ and
 $m_j \notin c_{it}$ with p

end

foreach $c_k \in C$ **do**

$pool_k = \sum_{m_i \in c_k} \alpha \Delta_{it} - \lambda(c_k)$
 $\Delta_{it}^* = (1 - \alpha) \Delta_{it} + \frac{pool_k}{\#m_i \in c_k}$

end

foreach $m_j \in N \times M$ **do**

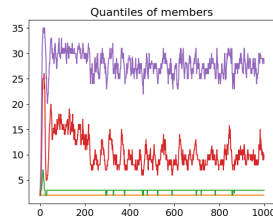
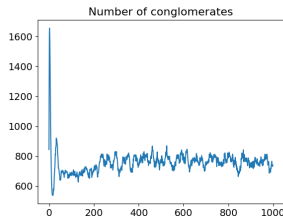
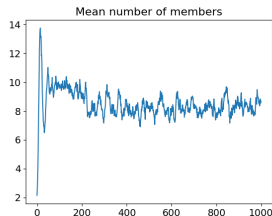
 Split if $s_{it} < s_{it-4}$

end

end

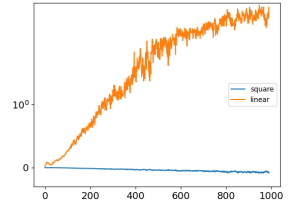
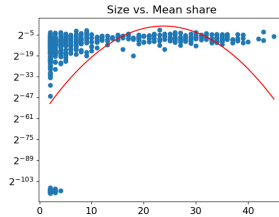
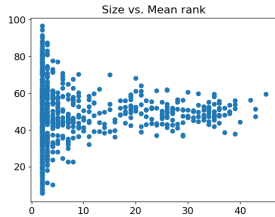
- $N = \#$ Markets (100)
- $M = \#$ Firms per Market (100)
- $C =$ Conglomerates
- $\Delta =$ Growth ($\sim \mathcal{N}(\mu_n, \sigma_n)$)
- $T =$ Total steps
- $p =$ Merge probability
- $\alpha =$ Pooling rate
- $\lambda =$ Transaction cost function
 - $\frac{\partial \lambda}{\partial \#m_i \in c_k} > 0$
 - $\frac{\partial^2 \lambda}{\partial^2 \#m_i \in c_k} > 0$

Results: Merging Behaviour

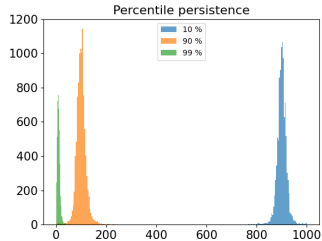
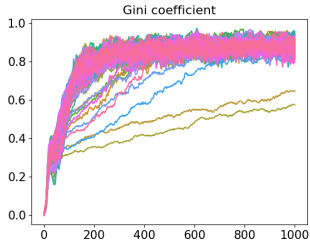


- Merging is a dominant strategy with more than 70 % of firms in a conglomerate
- Stabilisation in the number of conglomerates (convergence speed depends on transaction costs)
- Highly unequal distribution of conglomerate size, with the 90 % and 70 % quantiles being far apart the 25 % and 10 % ones

Results: Market Concentration (1/3)

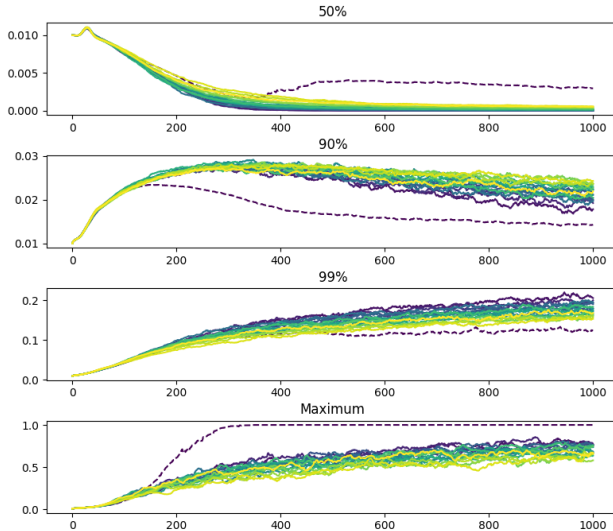


Results: Market Concentration (2/3)



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Results: Market Concentration (3/3)



- Explanation point 1
- Explanation point 2
- Explanation point 3

Questions to be addressed

- More dynamic splitting decisions depending on a change of ranks or market share
- Include jump processes
- Include pricing decisions by the firms to compute welfare statistics
- Check whether certain industrial configurations have different underlying processes (chemicals, electronics, consumer goods, etc.)

Reach Out!

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